JATHNIER CORPORATION
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M E M O R A N D U M

August 15, 2022 **GM-2022-0815-0008**

TO: **BRANCH OPERATIONS DEPARTMENT, FINANCE & ADMINISTRATION**
PURCHASING AND SUPPLY CHAIN MANAGEMENT

FR: **GABRIEL L. CUAYCONG/GM - JC**

Cc: **DLC/MGC/Audit/File**

Re: **CORPORATE POLICY: COCA COLA PRODUCTS RECEIVING, STORAGE & RETURN TO VENDOR (RTV)**

Moving forward to our corporate vision in business year 2022, Jathnier Corporation's direction is to implement strongly our **INTERNAL CONTROLS**, in particular our **Inventory Management**. This memorandum will give emphasis regarding Memorandum # FD-01-11232021, dtd. Nov. 11, 2021 issued by Jathnier Corporation Finance Department, titled: BO PROCESS.

Coca Cola Company (Philippines) has been our trade partner for a period of time, and continually our business relation remain in good standing. In view of this, Coca Cola and Rosebakeshop are strengthening its internal controls in order to maintain delivery of quality products to our valued customers.

RETURN TO VENDOR POLICY

RETURN TO VENDOR (RTV) – a standard corporate policy of Rosebakeshop to all its suppliers to return specific products that does not meet quality standard set forth by Rosebakeshop during delivery receiving of the item or within the specified period agreed upon with the supplier, either by Trade Agreement or a common practice done in a period of time trading with Rosebakeshop.

Rosebakeshop will initiate RETURN TO VENDOR to Coca Cola Products on the following parameters:

1. **Near Expiration** – Rosebakeshop will reject during delivery receiving any Coca Cola product that is **Less than 2 months near its expiry date or best before date.**
2. **Color** – becomes light in color for Coke & Orange soft drink other similar category.
3. **Taste** – Flat taste, no more sweetness & bubbly effect.
4. **Packaging** – deform, filthy or soiled.
5. **Quantity** – content show low level quantity.
6. **BO Form** – RBS branch will use the Bad Order (BO) Form to document the RTV transaction. Fully stated the reason of return to vendor.
7. **Negative Invoice** – Coca Cola (Supplier) will issue the Negative Invoice to pull out the RTV items. Supplier will automatically deduct the returned product amount to their billing statement.

RETURN TO VENDOR (RTV) PROCEDURE

1. **Rejection on site by RBS branch upon delivery receiving** – Coke distributor or Agent will immediately replace physically the rejected item or effect corrected quantity adjustment on the supplier delivery invoice.

2. **Color & Flat taste returned by direct customer** – RBS branch will execute customer complaint form, signed and acknowledged by the customer and the details of the complaint. Execute RTV procedure

using the **BO form**, attach the Customer Complaint. Coke distributor or Agent during regular Sales Order Booking or delivery, will issue a **Negative Invoice** and pull out the RTV items.

3. **Non Replacement of returned items** – in cases wherein replacement is not done within 1 month from RTV request or replacement of the same product is not possible, cost of the returned Coca Cola product upon confirmation from RBS Branch Operations and Finance Manager will be deducted (Debit Memo) to RBS account to the supplier.

4. **Branch Inventory Report** – RBS branch must attached together the RTV BO form and Coca Cola (Supplier) Negative Invoice Form. Submit together with the Branch Report to Accounting Department.

INVENTORY MANAGEMENT POLICY

1. **RECEIVING** – RBS branch Supervisor or designated receiver should properly check the supplier's delivery invoice and the items delivered following RBS branch standard receiving procedure. Check completeness of the information of the Suppliers Invoice (SO & PO reference), cross match the items in the invoice and the actual items delivered, check the quality of the items, check the expiration or best before date, check the quantity. Affix the RBS branch receiver complete name, signature, date & time.

2. **STORAGE & DISPLAY** – Coca Cola products should be regularly place & refill in the Coca Cola provided Chillers. As for the buffer stocks, it should be placed immediately on the designated storage area, clean, cool & ambient room temperature, away from direct sunlight or high temperature level area.

3. **RTV PRODUCTS** – Coca Cola products classified as Return to Vendor should be placed in a designated classification area, clean and free from infestation and other contaminants. Well labeled as RTV and ready for pull out/replacement anytime by the supplier.

4. **INVENTORY COUNT** – Coca Cola products inside RBS branch, either Good or for RTV will form part of the merchandise inventory of the RBS branch. All are included and classified accordingly during daily branch physical inventory count report and the monthly physical inventory count.

JATHNIER CORPORATE POLICY

The cost of all Coca Cola products that are kept in the branch which are under quality (including near expiration) or unsold and not returned to vendor on specified time under the RTV Policy stated herein, are subject for restitution (charge) policy of RBS company to the personnel accountable for this procedure.

INVENTORIES are a valuable Asset of the company and the goodwill we promote to our CUSTOMER & SUPPLIER relationship, thus a full understanding of the responsibility and accountability are expected to all personnel who were assigned and designated to carry this function. **The manner in implementing this directive are governed under the Company Code of Discipline, #4.2. Corporate General Rules & Regulation and #16 Offenses against Company Assets and Property.**

This memorandum directive will officially take effect on **August 22, 2022**. Any clarification on this matter please communicate accordingly.

Noted:

Gabriel L. Cuaycong
GM/RBS-JC

Melina G. Comedido
VP/Operations Director-JC